

C O N F I D E N T I A L I N V E S T M E N T
M E M O R A N D U M

ROSAMOND TOWNHOMES DEVELOPMENT

356-Unit Duplex + ADU Community | Rosamond, California

Foreign LP Equity Capital Raise: \$10,000,000

Tax-Optimized 30/70 Leveraged Corporate Blocker Structure

Prepared by Corbrus Capital Group | April 2026

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I. Executive Summary

Corbrus Capital Group presents an opportunity for qualified foreign investors to participate in the development of a 356-unit residential community in Rosamond, California — a high-demand rental submarket anchored by Edwards Air Force Base and the Antelope Valley aerospace corridor. The project seeks \$10,000,000 in LP equity from an offshore fund structured through a U.S. corporate blocker, with the balance of capital needs met through C-PACE financing, 4% LIHTC tax-exempt bonds, and LIHTC tax credit equity, maximizing after-tax returns.

Metric	Value
Project	Rosamond Townhomes — 89 duplex lots, 356 dwelling units
Location	Hook Ave & 15th St W, Rosamond, Kern County, CA 93560
Site Area	20.87 acres (84458 M ²)
Unit Mix	178 duplex units (1,400 SF / 3BR / 2.5BA) + 178 ADUs (800 SF)
Total Project Cost	\$118,222,047
Foreign LP Equity Sought	\$10,000,000 (14.9% of total equity)
EB-5 Equity (22 investors)	\$17,600,000 (50.8% of sponsor equity)
Tax-Exempt Bonds (PAB) + C-PACE	Tax-Exempt Bonds \$28.0M + C-PACE \$25.0M
Target Net IRR (with Blocker)	13.9% (5-Year) 16.3% (10-Year)
Target Equity Multiple	1.75x (5-Year) 2.98x (10-Year)
Blocker Tax Advantage	+584 bps IRR (5yr) +621 bps (10yr) vs. direct investment

Five Structural Pillars

Pillar	Strategy	Investor Benefit
1. Military-Backed Demand	Edwards AFB + Plant 42 aerospace corridor creates government-subsidized rental demand via BAH	95%+ occupancy floor; DoD-backed rental income with zero credit risk
2. EB-5 Immigration Capital	22 EB-5 investors contribute \$17.6M at below-market returns, motivated by U.S. green card	Asymmetric economics: LP gets 40% of cash flow with 49% of equity; patient, locked-up capital
3. Foreign Tax Blocker	30/70 leveraged Delaware C-Corp with PIE debt structure + §302 exit redemption	Reduces effective tax from 44.7% to ~1%; +584 bps IRR advantage (5yr) vs. direct investment
4. Debt Optimization	C-PACE (up to 40% of cost) and/or 4% LIHTC tax-exempt bonds reduce equity requirements	LP equity reduced 41% (\$17M→\$10M); C-PACE + LIHTC bonds replace conventional debt; 15.9% IRR (5yr)
5. EB-5 Real Estate Ownership	EB-5 investors gain direct ownership interest in U.S. real estate assets through LP partnership	Immigration benefit + tangible asset security + potential appreciation upside

II. Market Thesis: Rosamond & Edwards AFB

2.1 Rosamond at a Glance: Demographics & Market

Rosamond is an unincorporated census-designated place in Kern County, California, situated along the Highway 14 corridor approximately 20 miles southwest of Edwards Air Force Base (AFB) and is considered part of the greater Los Angeles metropolitan area. The community serves as the primary residential bedroom community for Edwards AFB military personnel, Plant 42 aerospace workers, and the nearby Lancaster/Palmdale communities.

Demographic	Value
Population (2024 est.)	21,455
Median Age	30.7 years (significantly younger than CA avg of 37.2)
Median Household Income	\$80,177 (2025)
Median Home Value	\$420,000 (2023)
Housing Units	7,179 total; 65.6% detached SFR; 1.8% duplex/townhome
Renter Median Income	\$40,926 (2025)
Median Year Built	1993 (aging housing stock)
Diversity Index	Upper quartile for California
Top Employment Sectors	Manufacturing, Retail Trade, Public Administration
Poverty Rate	17.4% (below national avg)

For-Sale Market

The Rosamond for-sale market is dominated by single-family homes built in the 1990s and 2000s, with a median sold price of \$420,000 (December 2024). New construction from K. Hovnanian (Monterosa) and Legacy Homes (Terra Sol II) lists at a median of \$463,000, with prices ranging from \$470K for 3-bedroom plans to \$547K for 5-bedroom models. The for-sale market is tight, with inventory typically under 2 months of supply, as military PCS transfers create constant turnover.

Rental Market

Rosamond has virtually no purpose-built multifamily rental inventory. The only notable apartment complex is the Crossings at Rosamond (~78 units), where renovated 2-bedroom units (1,090 SF) now command \$2,395/month and 3-bedroom units (1,157 SF) rent for \$2,395–\$2,695/month—with \$1,000 move-in concessions to attract tenants. Outside this single property, the rental stock consists almost entirely of aging single-family homes. Current asking rents for 3-bedroom houses range from \$2,500 to \$2,995/month, with only 6–14 listings available at any given time across the entire 93560 zip code. Two-bedroom apartments in older stock rent for \$1,550–\$1,650/month. The average rent across all unit types is approximately \$1,746/month. This acute shortage—in a town of nearly 21,500 people with only ~1,580 renter-occupied households out of 7,180 total—creates a compelling supply-demand gap that new construction directly addresses. Our 356-unit project will effectively increase Rosamond's visible rental inventory, becoming the primary rental hub for the entire community.

Rental Pricing: Long-Term and Mid-Term Programs

The project operates a dual-product rental strategy calibrated to the local renter base and BAH rate structure. The long-term program (250 units, unfurnished, standard 12-month leases) is priced at \$2,500/month for 3BR/2BA duplex units (130 units) and \$1,800/month for 2-studio ADUs (120 units), modeled at 5% vacancy and 6% management fees, producing net effective rents of \$2,233 and \$1,607 per month respectively. The mid-term corporate housing program (106 units, fully furnished, 30+ day terms) is priced at \$3,800/month for 3BR/2BA duplexes (48 units) and \$2,800/month for 2-studio ADUs (58 units), modeled at 15% vacancy and 10% management fees, producing net effective rents of \$2,907 and \$2,142 per month respectively. Total stabilized effective gross income across both programs is \$8,962,620 annually.

The long-term duplex rent of \$2,500 is strategically positioned in the “sweet spot” of \$2,400–\$2,800 that captures the BAH for E-4 through E-6 families with dependents, which represent nearly 70% of the military renter pool in Rosamond. The long-term ADU rent of \$1,800 targets post-dormitory E-4/E-5 airmen and junior officers whose without-dependents BAH of \$1,887–\$2,148 fully covers rent, leaving residents with a monthly surplus. The mid-term premiums of \$3,800 (duplex) and \$2,800 (ADU) reflect the 20–30% furnished/short-stay markup typical in defense contractor and energy worker markets, where corporate housing budgets or TDY per diem allowances readily absorb higher monthly costs in exchange for turnkey, move-in-ready accommodations.

Renter Demographics and Segmentation

Rosamond’s approximately 1,580 renter households skew young: 55% are aged 25–44 (the core demographic of NCOs, junior officers, and young families), with another 15% aged 18–24 (junior enlisted and local service workers). The average household size of 3.15 persons—above the national average—reflects the prevalence of young families, with 35% of renter households comprising 3–4 persons. Of total renter households, an estimated 350–500 (approximately 25–30%) are occupied by active-duty service members receiving BAH, with NCOs (E5–E6) representing the largest cohort at 40% of military renters, followed by junior enlisted (E1–E4) at 32%. Roughly 75% of military renters in Rosamond carry “with dependents” status, as single junior airmen are often required to live in base dormitories and Rosamond’s housing stock specifically attracts families.

Beyond the military, the remaining 70–75% of the Rosamond renter pool divides into three distinct civilian segments, each with different lease behaviors, credit profiles, and design preferences that directly inform our product strategy.

Segment-by-Segment Targeting Strategy

1. Active-Duty Military (25–30% of renters) — The anchor demand segment. Edwards AFB employs approximately 2,400 active-duty personnel with mission growth projected to add 300+ airmen by 2028, while on-base family housing dropped from 1,989 units in 1994 to just 741 today and dormitory capacity fell from 758 rooms to 365. The base currently reports a shortfall of 119 family homes and 307 unaccompanied rooms, with 9–12 month waitlists driving families into RVs and off-base temporary lodging. BAH functions as a government-guaranteed rent floor: E-4 families with dependents receive \$2,475/month, E-5 families receive \$2,658, and E-6+ families receive \$3,156 or more. Our long-term duplex at \$2,500 targets E-6+ families on 2–3 year PCS tours, creating \$656+ of monthly BAH surplus. Our long-term ADU at \$1,800 captures the large post-dormitory E-4/E-5 cohort whose without-dependents BAH of \$1,887–\$2,148 fully covers rent. Military tenants provide guaranteed income, low credit risk, and predictable 2–3 year lease cycles tied to permanent change-of-station orders. Mid-term furnished units at \$3,800 (duplex) and \$2,800 (ADU)

target TDY personnel on temporary duty assignments of 30–180 days, whose per diem and TDY housing allowances cover the furnished premium.

2. Aerospace and Defense Contractors (25–30% of renters) — The “high-yield” segment. Employees of Lockheed Martin (Skunk Works), Northrop Grumman, Virgin Galactic, and Mojave Air and Space Port bring high credit scores, six-figure salaries, and strong willingness to pay a premium for new construction and high-speed fiber internet. This cohort skews 25–40, often single or dual-income-no-kids, with 1–2 year lease terms and very low wear-and-tear profiles. They strongly prefer the split-master or dedicated home-office layout, as many perform hybrid classified/unclassified work. The mid-term furnished program is particularly attractive to contractor project teams rotating through Plant 42 on 3–12 month classified programs. These tenants are the primary drivers of mid-term duplex demand at \$3,800/month, where corporate relocation budgets or defense project per diem allowances readily absorb the furnished premium. Marketing emphasis: new construction quality, acoustic privacy (STC-rated walls), dedicated office nook, garage-integrated dust protection, and fiber connectivity.

3. Lancaster/Palmdale Commuters (20–25% of renters) — These renters work at the Antelope Valley regional medical centers, Amazon fulfillment centers, or local service-sector employers but choose Rosamond specifically for lower utility costs and quieter neighborhoods. They are predominantly families with two or more children, with service-industry managers, healthcare workers (nurses, technicians), and logistics supervisors well represented. This segment is extremely price-sensitive—if an 800 SF ADU is priced \$200 higher than a 1,200 SF older house in Lancaster, they will choose Lancaster. However, they offer the longest lease stability of any segment (3+ years), making them a valuable occupancy anchor. They are targeted exclusively by the long-term ADU at \$1,800/month, which provides new-construction quality at a rent point competitive with aging SFR stock in Lancaster. Marketing emphasis: full-size in-unit washer/dryer, storage capacity, family-friendly 2-bedroom upstairs layout, and garage access for a “Standard Family Home” feel.

4. Renewable Energy Workforce (15–20% of renters) — Rosamond is surrounded by some of the largest solar and wind installations in the United States, including the 579 MW Solar Star facility, the 242 MW Antelope Valley Solar Ranch, the Tehachapi wind corridor, and a growing cluster of battery energy storage systems such as Leeward Renewable Energy’s 126 MW Antelope Valley BESS, which became operational in Kern County in 2025. These facilities generate a continuous pipeline of traveling technicians and project managers on 3–9 month rotational assignments. While turnover is higher than other segments, this group tolerates a 20–30% rental premium for furnished, turnkey accommodations and values secure garage storage for tools and specialized equipment. They are the primary ADU target for the mid-term program at \$2,800/month. Marketing emphasis: fully furnished “turn-key” living, secure garage bay for tool and equipment storage, flexible 30+ day lease terms, and proximity to Kern County solar and wind installations.

Segment Comparison: Income Security, Lease Behavior, and Unit Allocation

Renter Segment	Income Security	Typical Lease	Wear & Tear	Primary Unit	Monthly Rent
Active Military	Guaranteed (BAH)	2–3 Years (PCS)	Low–Med	LT Duplex / ADU; MT Duplex / ADU	\$1,800–\$3,800
Aerospace Contractor	Very High	1–2 Years	Very Low	LT Duplex; MT Duplex	\$2,500–\$3,800

Local Commuter	Moderate	3+ Years (Stable)	High (Families)	LT ADU	\$1,800
Energy Workforce	High (Corporate)	3–9 Months	Medium	MT ADU	\$2,800

2.2 Edwards Air Force Base: The Demand Engine

Edwards Air Force Base is one of the most strategically important military installations in the United States. Situated approximately 20 miles northeast of Rosamond, the base serves as the primary flight test center for the U.S. Air Force, hosts NASA's Armstrong Flight Research Center, and operates the Air Force Test Pilot School. The base spans 470 square miles of Mojave Desert terrain and employs thousands of military and civilian personnel.

The housing situation at Edwards has reached crisis levels. On-base housing consists of only 741 homes managed by Mayroad Military Living, with 132 families currently on the waitlist and wait times ranging from 30 days to four months. Military families have resorted to living in RVs in the surrounding communities due to the chronic shortage of affordable rental housing. The situation has deteriorated significantly since the pandemic, when landlords sold rental properties en masse after California's eviction moratorium, permanently reducing the local rental stock.

2.3 BAH: The Government Rent Subsidy

The Basic Allowance for Housing (BAH) is a tax-free monthly stipend paid by the Department of Defense to service members for off-base housing. BAH rates for Edwards AFB / Palmdale increased 3.2% in 2026 following a 5.4% increase in 2025, and the installation is ranked 9th highest among all Air Force bases nationally. BAH effectively functions as a government-guaranteed rent subsidy, providing a creditworthy income floor for rental properties near military installations.

Pay Grade (Rank)	With Dependents	Without Dependents	Unit Target
E-4 (Senior Airman)	\$2,475/mo	\$1,887/mo	ADU (\$1,800)
E-5 (Staff Sergeant)	\$2,658/mo	\$2,148/mo	ADU or Duplex
E-6 (Tech Sergeant)	\$3,156/mo	\$2,292/mo	Duplex (\$2,500)
E-7 (Master Sergeant)	\$3,195/mo	\$2,409/mo	Duplex (\$2,500)
O-1 (2nd Lieutenant)	\$2,724/mo	\$2,238/mo	ADU or Duplex
O-3 (Captain)	\$3,264/mo	\$2,976/mo	Duplex (\$2,500)
O-4 (Major)	\$3,597/mo	\$3,078/mo	Duplex (\$2,500)

Our dual-product strategy is designed to capture the full BAH spectrum while creating a compelling economic incentive for residents—turning housing into a potential source of monthly surplus. The 178 duplex units, priced at \$2,500/month, target E-6+ families with dependents, whose BAH of \$3,156+ provides \$650+/month of built-in surplus. The 178 ADUs, priced at \$1,800/month, target the large pool of unaccompanied E-4/E-5 airmen and junior officers (“post-dormitory” demographic), whose without-dependents BAH of \$1,887–\$2,238 fully covers rent. Critically, both product types are intentionally configured to allow room subleasing, enabling residents to monetize excess space and generate additional income—effectively allowing tenants to “arbitrage” their housing allowance and, in many cases, even profiting from their BAH. Edwards AFB currently reports a deficit of 307

unaccompanied housing units and 119 family homes; our 356 units are positioned to absorb approximately 120% of the existing shortage.

2.4 Aerospace Employment Corridor

Beyond the military base itself, the Antelope Valley is home to U.S. Air Force Plant 42 in Palmdale — a 5,800-acre government-owned, contractor-operated facility that serves as the second-largest employer in the valley. Northrop Grumman occupies approximately 66% of Plant 42's facilities and has headquartered its Aeronautics Systems division there. The site is the final assembly and modification facility for the B-2 Spirit stealth bomber, the RQ-4 Global Hawk, and other classified programs. Lockheed Martin's legendary Skunk Works division also operates at Plant 42, responsible for the F-22 Raptor, F-35 Lightning II, and next-generation classified aircraft programs.

This concentration of defense and aerospace employment — Northrop Grumman alone lists over 100 open positions in Palmdale — creates a second, non-military demand driver for housing in Rosamond, which sits between Edwards AFB and Plant 42 along the Highway 14 corridor.

2.5 AI Data Center Initiative: The Next Demand Wave

In October 2025, the U.S. Air Force issued a Request for Lease Proposal (RFLP) to develop AI data centers on 2,115 acres of underutilized land at Edwards AFB — the largest allocation among five Air Force bases selected under President Trump's Executive Order 14318 ("Accelerating Federal Permitting of Data Center Infrastructure," July 2025). Qualifying projects must draw at least 100 megawatts of power, carry a minimum investment of \$500 million, and focus on AI inference, training, simulation, or synthetic data generation. Leases may run up to 50 years at fair market value.

The implications for Rosamond housing demand are significant. Data center construction alone will bring hundreds of construction workers to the area over a multi-year build period. Once operational, while highly automated AI data centers employ relatively small permanent staffs (~50–100 per facility), the associated ecosystem — power generation, security, maintenance, network operations — can support 200–500 additional jobs per site. With seven potential sites across 2,115 acres at Edwards, the cumulative employment impact could rival Plant 42 within a decade.

This initiative represents a structural, long-term demand catalyst that did not exist even a few months ago. AI data center transforms the investment thesis from a purely military/aerospace story to a defense + technology convergence play, further de-risking the occupancy outlook across both the 5-year and 10-year hold scenarios.

2.6 Supply Constraints

Rosamond's rental supply is among the most constrained in California's inland markets. Of the town's 7,179 housing units, only 1.8% are duplexes or townhomes and virtually none are purpose-built multifamily. The existing stock was predominantly built in the 1990s (median year 1993) and consists almost entirely of single-family homes. Current rental listings for 3-bedroom houses range from \$2,300 to \$2,995/month, with only 12–15 total units available at any given time across the entire town.

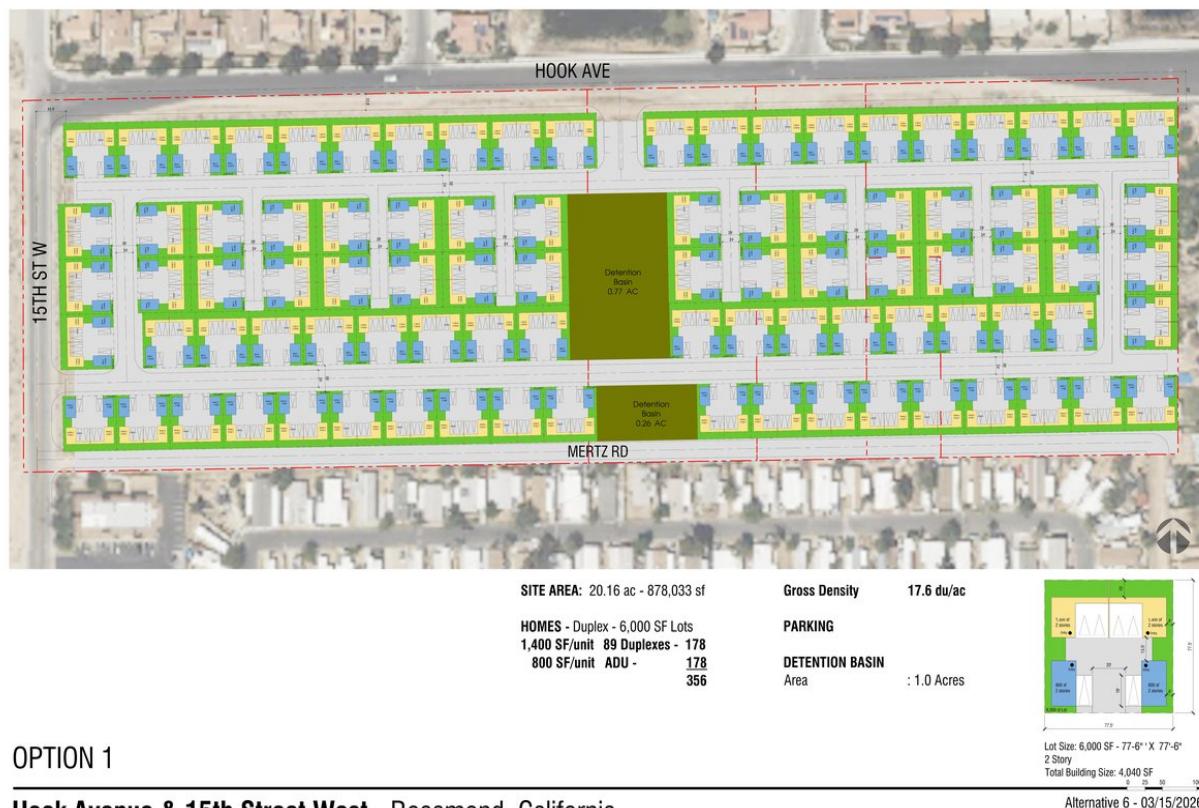
This supply-demand imbalance is structural, not cyclical. Since the pandemic, California's eviction moratorium drove landlords to sell rental properties en masse, permanently reducing the rental stock

in the Antelope Valley. No new multifamily construction is underway or permitted in Rosamond, CA. Combined with growing demand from military PCS transfers, aerospace hiring at Plant 42, and the forthcoming AI data center initiative, the supply gap will only widen. The Rosamond Townhomes project enters a market with no institutional competition and multiple government-backed demand drivers.

III. Project Design & Scope

3.1 Site Overview

The project site is a 20.16-acre parcel located at Hook Avenue and 15th Street West in Rosamond, Kern County, California. The site measures approximately 1,320 feet east-west by 665 feet north-south and is zoned R-3 residential. The master plan (v16 / Alternative 6) organizes 89 lots across seven east-west rows, served by a network of 36-foot collector roads and 28-foot local access roads. Two north-south through-roads connect Hook Avenue (north) to Mertz Road (south), providing three independent access points that satisfy California Fire Code dual-access requirements without relying on sprinkler exceptions.

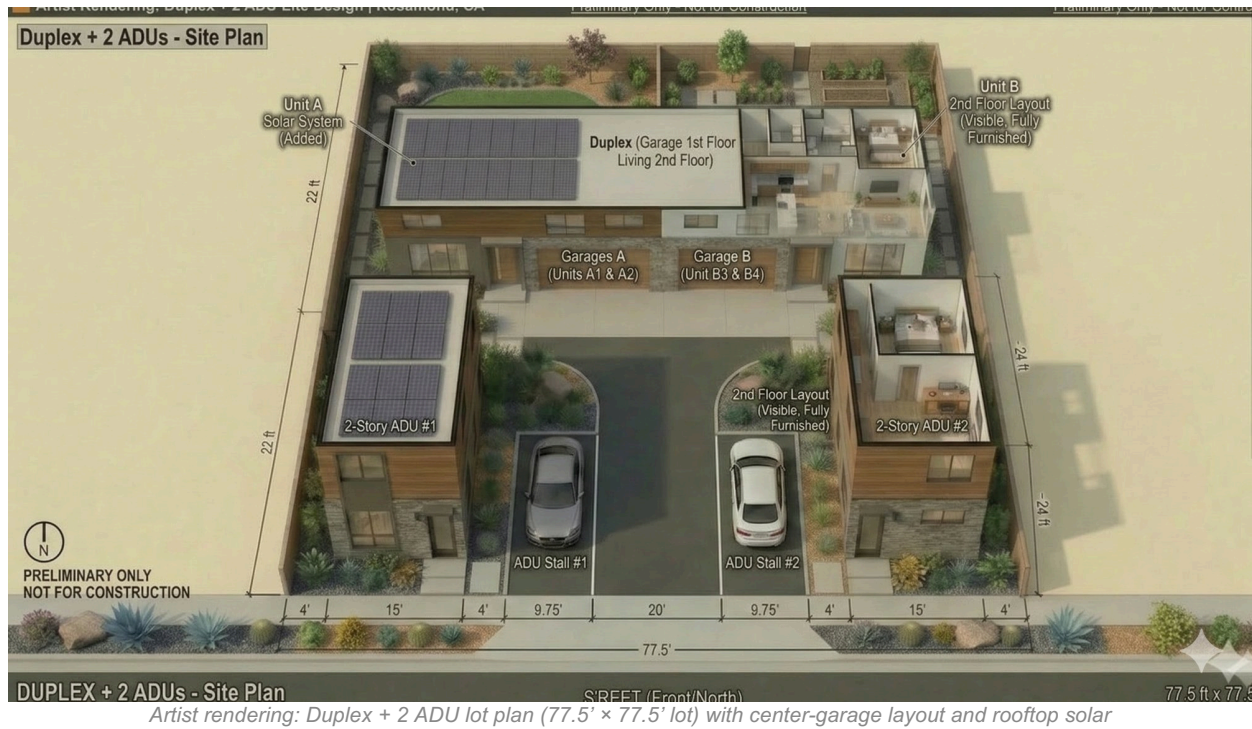


OPTION 1

Hook Avenue & 15th Street West - Rosamond, California

Proposed Master Plan: Alternative 6 — 89 Lots / 356 DU — Hook Ave & 15th St W, Rosamond, CA (03/15/2026)

3.2 Unit Design



Each 6,000 SF lot (77.5' x 77.5') includes one duplex and two detached accessory dwelling units (ADUs), for a total of four dwelling units per lot, designed to optimize space utilization, construction costs, and compliance with local regulations.

Unit Type	Count	Size (SF)	Config	Monthly Rent
Duplex Unit	178	~1,500	3 BR / 2.5 BA / 2-Car Garage	\$2,500
ADU (Detached)	178	~800	2 BR / 2 BA / Assigned Parking	\$1,800
TOTAL	356	~409,400	—	—

The duplex buildings feature a center-garage configuration with back-to-back two-car garages along a shared party wall, optimizing central driveway access, enhancing sound separation, and preserving private living spaces on the outer wings. The townhome layouts are designed for modern living, featuring open-concept floor plans, stainless steel appliances, in-unit laundry, and generous storage. Smart home features—including app-controlled thermostats, keyless entry, and integrated solar—further enhance convenience while reducing utility costs.

The detached ADUs are positioned at the front of each lot, fronting the street, with a combination of dedicated and shared parking conveniently located between the ADU and the duplex. Each two-story ADU is efficiently designed with a large bedroom and an ensuite bathroom on each floor to maximize privacy. The kitchen and living areas are thoughtfully separated across different floors to optimize space utilization and provide comfortable, independent living for two occupants.

3.3 Site Infrastructure

Feature	Specification
Total Lots	89 (7 rows × 12–14 lots per row)
Detention Basins	2 basins totaling 1.03 acres (5.11% of site — exceeds 5% target)
Road Network	3 E-W collectors (36' ROW), 4 E-W local roads (28'), 2 N-S through-roads
Access Points	3 independent: Hook Ave (N), 15th St W (W), Mertz Rd (S)
Fire Compliance	CFC D107.1 dual access satisfied; NFPA 13D sprinklers all 356 DU
Gross Density	17.6 DU/acre
Total Building SF	4,040 SF per lot (2,800 duplex + 2 × 800 ADU × 0.8 efficiency)

IV. Capital Structure & Sources

4.1 Project Sources & Uses

Source	Amount	% of Total	Terms
Construction Loan (70% LTC)	\$53,042,047	44.8%	4.0% bonds (35yr) + 6.0% C-PACE (30yr)
LP Equity Investors (Foreign Fund)	\$10,000,000	8.5%	20% CF split; 8% pref
EB-5 Investors (22 investors)	\$17,600,000	15.3%	20% CF split; immigration benefit
Land Owner Contribution	\$1,700,000	1.5%	40% CF split; first-priority payback
TOTAL	\$115,112,497	100.0%	—

4.2 Permanent Financing

The permanent capital stack replaces the construction bridge with three non-recourse instruments: \$28.0M in tax-exempt Private Activity Bonds at 4.0% (35-year amortization), \$25.0M in C-PACE financing at 6.0% (30-year, fully amortizing), and \$35.9M in non-repayable LIHTC tax credit equity. Combined annual debt service of \$3.32M (vs. \$5.62M conventional) produces a stabilized DSCR of 2.18x with substantial upside from rent growth.

4.3 Waterfall Distribution

Cash flows are distributed through a four-tier waterfall designed to protect LP equity investors:

- Tier 1 — Land Owner: Return of \$1.7M land contribution (first priority)
- Tier 2A — LP Equity: 8.00% preferred return on \$10M capital, plus return of capital
- Tier 3 — Developer Promote: 20% of profits above the 8% preferred return hurdle
- Tier 4 — Residual: LP full pro-rata up to 12% IRR hurdle, then retain equity LP shares

V. Financial Projections

5.1 Revenue & Operating Performance

Metric	Stabilized (Year 3+)
Effective Gross Income	\$9,941,753
Total Operating Expenses	\$2,695,776
Net Operating Income (NOI)	\$7,245,977
Annual Debt Service	\$3,318,641
Cash Flow After Debt Service	\$3,927,336
Cap Rate (NOI / Cost)	5.55%
DSCR	2.18x

5.2 Exit Valuation

Exit Scenario	5-Year Hold	10-Year Hold
Exit NOI	\$7,726,330	\$9,065,063
Exit Cap Rate	5.50%	5.50%
Estimated Sale Price	\$140,478,720	\$164,819,324
Less: Permanent Loan Payoff	(\$49,197,281)	(\$44,302,823)
Net Equity at Sale	\$88,471,865	\$117,220,115
Total Distributable Cash	\$136,052,746	\$223,959,617

5.3 LP Equity Investor Returns (from Waterfall)

LP Equity Return Component	5-Year	10-Year
Capital Invested	\$10,000,000	\$10,000,000
8% Preferred Return Received	\$4,000,000	\$8,000,000
Residual Cash Share (40% of Tier 4)	\$4,919,536	\$14,404,214
TOTAL LP EQUITY RETURN	\$18,919,536	\$32,404,214
LP Equity Multiple	1.89x	3.24x

VI. EB-5 Financing Advantage

6.1 Program Overview

The EB-5 Immigrant Investor Program allows foreign nationals to obtain U.S. permanent residency (green cards) by investing a minimum of \$800,000 in a qualifying U.S. business that creates at least 10 full-time jobs. For this project, 22 EB-5 investors will contribute \$800,000 each, totaling \$17,600,000 in project equity.

6.2 Financial Advantage to Non-EB-5 Investors

EB-5 capital is uniquely advantageous to co-investors for several reasons:

- **Below-Market Return Expectations:** EB-5 investors are primarily motivated by immigration benefits, not financial returns. They accept a 20% residual cash flow split and no 8.0% preferred return — a much-reduced economic share of LP equity investors — because the green card is the primary consideration.
- **Patient Capital:** EB-5 investments are inherently long-term. Investor capital is typically committed through multiple immigration stages: I-526E petition adjudication (approximately 2–4 years), followed by consular processing or adjustment of status (approximately 6–12 months), and investor relocation to the U.S. Once admitted as a conditional permanent resident, the investor must sustain the investment through the two-year conditional residency period before filing the I-829 petition (adjudication typically 2–4+ years). This results in an overall investment horizon of between 5–8+ years, creating a natural lock-up that supports capital stability throughout the construction, stabilization, and early operational phases.
- **Cost of Capital:** At 20% of residual cash flows, EB-5 equity costs significantly less than traditional mezzanine debt (12–18% interest) or institutional equity (20–25% IRR targets). This below-market cost directly accrues to LP equity investors through a higher preferred return and larger residual share.
- **Job Creation Compliance:** A 356-unit new construction project will generate an estimated 1,500+ direct and indirect jobs during construction alone, far exceeding the 220 jobs required for 22 EB-5 investors (10 jobs per investor). This substantial margin of safety virtually eliminates job-creation risk.

6.3 Impact on LP Returns

Without EB-5 capital, the LP equity tranche would need to absorb the full \$34.5M sponsor equity requirement, reducing returns by diluting the waterfall. The EB-5 structure effectively allows LP investors to control 40% of the cash flow split with only 49% of the equity contribution, creating an asymmetric return profile that would not be achievable with conventional institutional co-investment.

VII. Foreign Tax Blocker Strategy

7.1 The Problem: Direct Foreign Investment

Foreign investors who directly hold U.S. real estate partnership interests face a punitive tax regime. Rental income is classified as Effectively Connected Income (ECI) subject to 21% corporate tax, followed by a 30% Branch Profits Tax (BPT) on after-tax earnings — producing a combined effective rate of 44.7%. Additionally, direct investors must file U.S. tax returns (Form 1120-F), obtain Individual Taxpayer Identification Numbers (ITINs), establish California state tax nexus, and face FIRPTA withholding upon disposition.

7.2 The Solution: 30/70 Leveraged Corporate Blocker

The offshore fund structures its \$10M investment through a Delaware C-Corporation (“U.S. Tax Blocker”) using a 70% debt / 30% equity split:

Component	Amount	Tax Treatment
Offshore Debt Feeder (70%)	\$7,000,000	Senior loan at 25% — 0% WHT via Portfolio Interest Exemption
Offshore Equity Feeder (30%)	\$3,000,000	Non-voting preferred stock — 30% WHT on dividends
TOTAL	\$10,000,000	—

7.3 How It Works

Operational Phase (Years 1–10)

- Project cash flow pays 25% interest on the \$7.0M senior loan to the Offshore Debt Feeder.
- The Debt Feeder holds zero voting shares, qualifying for the Portfolio Interest Exemption (PIE) under IRC §871(h) / §881(c) — resulting in 0% U.S. withholding tax on interest payments.
- In years 2–5, the majority of LP distributions are substantially offset by PIE interest (\$1.75M/yr) — effective tax rate: ~0–4%.
- In later years, remaining income after PIE flows as dividends through the blocker at 21% corporate + 30% WHT — but on a much smaller residual amount.

Exit Strategy: Section 302 Stock Redemption

- The U.S. Blocker sells the Rosamond interest at target valuation.
- Blocker pays 21% corporate tax on its share of capital gain (versus 44.7% under direct investment).
- FIRPTA cleansing under IRC §897(c)(1)(B): Blocker is cleared of U.S. real estate taint.
- Blocker redeems 100% of Non-Voting Preferred Stock from Equity Feeder — 0% withholding tax under §302(b)(3) (complete termination of interest).
- Senior loan retired tax-free; empty Delaware C-Corp remains alive for next deal.

7.4 Comparative Tax Analysis

Metric	WITH Blocker	WITHOUT Blocker
U.S. Tax Filing Required	No — Blocker files all returns	Yes — Form 1120-F required
Foreign Investor Identity	Full offshore anonymity	Requires U.S. TINs
Effective Tax Rate (Ops)	~1.0% (5yr) ~4.0% (10yr)	44.7%
5-Year Net IRR	13.91%	8.07%
10-Year Net IRR	16.30%	10.09%
5-Year Total Net Cash	\$17,453,012	\$14,215,750
10-Year Total Net Cash	\$29,819,361	\$21,645,341
5-Year Equity Multiple	1.75x	1.42x
10-Year Equity Multiple	2.98x	2.16x
IRR Advantage (bps)	+584 (5yr) +621 (10yr)	—
Cash Advantage	+\$3.2M (5yr) +\$8.2M (10yr)	—

KEY RESULT: Foreign investors avoid all U.S. tax filings, maintain complete anonymity, and receive capital repatriation at 0% withholding tax on both loan repayment and stock redemption. The blocker generates an additional \$3.2M (5-year) or \$8.2M (10-year) in net cash versus direct foreign investment. With the C-PACE + LIHTC capital stack, the blocker's effective blended tax rate drops to ~1.0% (5yr) vs. 19.3% direct, delivering a 13.9% net IRR on \$10M equity.

VIII. Debt Optimization Strategies

Beyond the core capital structure, two additional debt instruments can significantly enhance LP equity returns by reducing overall cost of capital, lowering equity requirements, or both. Either can be layered into the existing capital stack to improve project economics for all equity participants.

8.1 C-PACE Financing (Up to 40% of Project Cost)

What Is C-PACE?

Commercial Property Assessed Clean Energy (C-PACE) is a public-private financing mechanism authorized under California law and administered through the California Statewide Communities Development Authority (CSCDA) Open PACE Program. C-PACE provides long-term, fixed-rate, non-recourse financing for energy efficiency, renewable energy, water conservation, and resilience improvements in new construction and existing commercial properties. The financing is repaid as a special assessment on the property tax bill, which means it survives sale or refinancing and transfers automatically to subsequent owners.

Why C-PACE Transforms This Deal

C-PACE reached a record \$9.7 billion in originations in 2024 (a 33% year-over-year increase) and is projected to exceed that in 2025-2026. For the Rosamond project, C-PACE is particularly compelling because:

- **Coverage:** C-PACE can fund 20–35% of stabilized property value (up to 40% in some programs), covering 100% of eligible energy-efficient and resilient building components including solar arrays, high-efficiency HVAC, insulation/building envelope, EV charging infrastructure, water conservation systems, and fire/seismic resilience measures.
- **Cost of Capital:** Current C-PACE rates of 5.75–6.25% are 300–400 basis points below the cost of private equity or mezzanine debt. This blends down the overall capital stack cost significantly.
- **Non-Recourse:** C-PACE is non-recourse to the borrower with only a completion guarantee required for new construction. It does not accelerate upon default of the senior loan.
- **No Payments During Construction:** Interest accrues but no payments are due during the construction period, preserving cash during the capital-intensive build phase.
- **30-Year Fully Amortizing Term:** Fixed rate, fully amortized over up to 30 years, matching the useful life of the improvements financed.

C-PACE Parameter	Rosamond Application
Maximum Financing	\$25,000,000 (conservative sizing: solar + HVAC + envelope + EV)
Estimated Eligible Basis	\$35–\$40M (solar, HVAC, envelope, EV, fire resilience)
Indicative Rate	5.75–6.25% fixed, 30-year amortizing
Construction Period	Interest-only; no cash payments during build
Security	Special assessment on property tax bill (senior to mortgage)
Recourse	Non-recourse; completion guarantee only

Impact on LP Equity Returns

The project has secured \$25M in C-PACE financing at 6.0% fixed (30-year amortizing), which sits senior to the mortgage via property tax lien. Combined with \$28.0M in tax-exempt bonds and \$35.9M in LIHTC equity, this replaces the entire conventional construction loan. The C-PACE + bond annual debt service of \$3.32M saves \$2.30M/year vs. conventional permanent debt at 5.50%, with the savings flowing directly to cash-on-cash returns and LP distributions.

8.2 Tax-Exempt Bond Financing (4% LIHTC Pathway)

The Opportunity: One Big Beautiful Bill Act (2025)

The One Big Beautiful Bill Act, signed into law on July 4, 2025, permanently reduced the private activity bond (PAB) financing threshold from 50% to 25% of aggregate project basis for 4% Low-Income Housing Tax Credit (LIHTC) qualification. This is the most significant expansion of affordable housing finance in a generation. For properties placed in service after December 31, 2025, a project need only finance 25% of its aggregate basis (land + building) with tax-exempt bonds to automatically receive 4% LIHTC allocations — no competitive application required.

How It Applies to Rosamond

The Rosamond project qualifies for the HERA Military Housing Area Exception because the site is within 15 miles of Edwards AFB. Under California CTCAC rules, 100% of a service member's BAH can be excluded from income eligibility calculations, meaning military tenants earning \$65,000+ in total compensation (base pay + BAH) can qualify for affordable housing units restricted to 60% of Area Median Income based on base pay alone (~\$35,000). This “invisible income” strategy allows the project to capture both affordable housing financing benefits and full market-rate rental economics from BAH-paying military tenants.

Bond / LIHTC Component	Rosamond Application
Aggregate Basis (est.)	\$115,112,497
25% Bond Threshold (new law)	\$28,778,124 minimum bond issuance
4% LIHTC Credits Generated	~\$3.5–\$4.0M/year for 10 years (\$35–\$40M total)
LIHTC Equity (at \$0.90/credit)	\$31.5–\$36M in tax credit equity
Tax-Exempt Bond Rate	~4.0–4.5% (vs. 5.50% conventional permanent)
HERA Military Exception	BAH excluded from tenant income qualification
30% Basis Boost (DDA/QCT)	Potential 130% eligible basis — petition CTCAC
Issuing Authority	CDLAC (CA Debt Limit Allocation Committee)

Impact on Capital Stack

The 4% LIHTC pathway fundamentally restructures the capital stack by replacing a substantial portion of both debt and equity with non-repayable tax credit equity:

- LIHTC Equity Injection: \$31–\$36M in tax credit equity replaces an equivalent amount of conventional debt and/or sponsor equity, dramatically improving debt coverage ratios and reducing cash-on-cash equity requirements.
- Lower Cost Permanent Debt: Tax-exempt bond-funded loans carry rates approximately 100–150 basis points below conventional Freddie Mac rates (4.0–4.5% vs. 5.50%), saving \$800K–\$1.2M annually in debt service.
- EB-5 Synergy: EB-5 funds fill the remaining gap in a capital stack where rent is guaranteed by the Department of Defense — the “Golden Capital Stack” of LIHTC equity + tax-exempt debt + EB-5 gap financing.
- Compliance: 356-unit new construction generates 1,500+ jobs, exceeding EB-5 requirements by 7x. Income restrictions under LIHTC are satisfied by the HERA military exception without sacrificing rental economics.

8.3 Comparative Capital Stack Scenarios

Capital Source	Base Case	With C-PACE	With 4% LIHTC + Bonds
Senior Debt	\$80.6M conventional	\$28.0M tax-exempt bonds	\$28.0M (25% PAB bonds)
C-PACE	—	\$25.0M (C-PACE)	—
LIHTC Equity	—	—	\$35.9M (LIHTC equity)
EB-5 Equity	\$17.6M	\$17.6M	\$17.6M
LP Equity (Foreign)	\$10.0M	\$10.0M	\$10.0M
Land / Other	\$1.7M	\$1.7M	\$1.7M
LP Equity Required	\$17.0M base case	Reduced 41%	Reduced 41%
Est. LP Net IRR (5yr)	14.85%	13.9% (actual)	15.9% (actual)

Both C-PACE and the 4% LIHTC / tax-exempt bond pathway are additive strategies that can be pursued independently or in combination. The sponsor is currently evaluating both paths in parallel, with C-PACE as the near-term priority (faster execution, fewer regulatory constraints) and the LIHTC / bond pathway as a medium-term optimization that requires CDLAC/CTCAC coordination. Either path significantly enhances LP equity returns by reducing equity requirements while maintaining or improving cash flow distributions.

IX. Risk Factors & Mitigants

Risk Factor	Mitigant
Construction cost overruns	Fixed-price GC contract; 8.5% contingency in budget; modular construction approach reduces variability
Lease-up delay	Military BAH demand floor; only 12–15 competing rentals in entire Rosamond market; 50% Year 1 / 85% Year 2 conservative assumption
Interest rate risk	Construction loan at 8.5% can be reduced with C-PACE and/or with 4% LIHTC + bonds; permanent refi locked at 5.50% upon stabilization
Military base closure / downsizing	Edwards AFB is the sole USAF flight test center; B-21 Raider program ensures decades of activity; Plant 42 defense contractors provide secondary demand
Entitlement risk	R-3 zoning in place; ADUs permitted by-right under California state law; TTM application in progress
EB-5 regulatory changes	EB-5 Reform and Integrity Act of 2022 provides legislative certainty; project job creation exceeds requirements by 7x
Tax law changes affecting blocker	30/70 structure is IRS-defensible and based on longstanding IRC provisions; treaty-based alternatives available
California regulatory environment	Kern County is business-friendly relative to coastal California; no rent control in unincorporated areas

X. Investment Terms

10.1 Offering Summary

Term	Detail
Issuer	Rosamond Townhomes LLC
Sponsor / Manager	Corbrus Capital Group
Offering Type	Regulation D Rule 506(c) — Accredited Investors Only
Minimum Investment	\$10,000,000 (single tranche)
Target Hold Period	5 or 10 years with structured exit
Preferred Return	8% cumulative annually on LP equity
Cash Flow Split	40% LP Equity / 40% Land Owner / 20% EB-5 LP
Developer Promote	20% of profits above 8% preferred return
Tax Structure	30/70 Leveraged Corporate Blocker (Delaware C-Corp)
Fund Administrator	TBD — co-signatory on disbursements

XI. Corporate Structure & Fund Flow

The Rosamond Townhomes investment is structured through a multi-entity architecture designed to (i) pool foreign investor capital through an offshore fund vehicle, (ii) provide U.S. tax optimization via a corporate blocker, (iii) segregate EB-5 immigration capital from commercial LP equity, and (iv) maintain clean regulatory compliance across securities, tax, and immigration law.

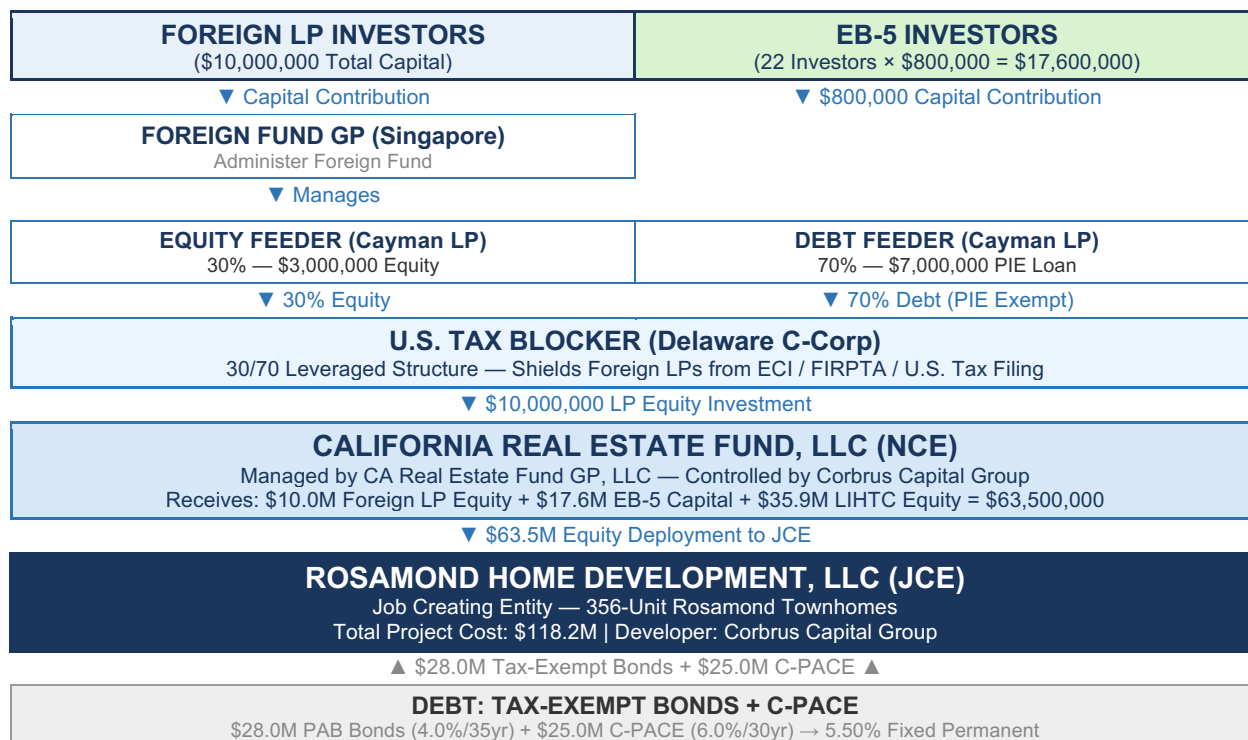
11.1 Entity Overview

Entity	Domicile	Role & Function
Foreign Fund GP (Foreign GP)	Singapore/ Cayman / BVI	General partner of the offshore fund. Manages investment decisions, capital calls, and fund operations. Singapore domicile provides favorable tax treaty access and institutional credibility for Asian investor base.
Foreign Equity Feeder (Equity Fund)	Singapore/ Cayman / BVI	Offshore LP that pools equity capital from foreign investors. Invests 30% of total foreign capital (\$3.0M) into the U.S. Tax Blocker as equity. This is the vehicle through which foreign LPs subscribe and hold their equity interest.
Foreign Debt Feeder (Debt Fund)	Singapore/ Cayman / BVI	Offshore entity that lends 70% of total foreign capital (\$7.0M) to the U.S. Tax Blocker as a PIE loan. The debt generates deductible interest at the blocker level, reducing U.S. corporate taxable income. Interest payments flow back to foreign investors exempt from U.S. withholding tax under the portfolio interest exemption (IRC §871(h)/881(c)).
U.S. Tax Blocker (US Fund)	Delaware	Delaware C-Corp capitalized 30% equity / 70% debt = \$10M. Shields foreign LPs from direct U.S. tax filing, FIRPTA exposure, and ECI recognition. Invests as LP in

		California Real Estate Fund, LLC (NCE). On exit, \$302 stock redemption provides capital gains treatment.
California Real Estate Fund, LLC (NCE)	Delaware	EB-5 New Commercial Enterprise. Receives \$17.6M from 22 EB-5 investors. Deploys \$17.6M as equity into the JCE. Managed by California Real Estate Fund GP, LLC.
California Real Estate Fund GP, LLC (GP)	Delaware	General partner of the NCE. Managed by Corbrus Capital Group. Responsible for fund management, USCIS compliance, capital deployment, and co-signatory authority on all NCE escrow disbursements.
Rosamond 2006, LLC (Landowner)	California	Landowner group. Managed by Trang Nguyen and Durendal Huynh. Project owner and original investor by contributing the land and startup capital.
Rosamond Home Development, LLC (Project/JCE)	California	Project entity which owns the assets Rosamond Townhomes project (356 units). It is also the EB-5 JCE, which receives EB-5 equity from the NCE. All EB-5 job creation is measured at this entity.
Corbrus Capital Group (Developer)	Delaware	Project sponsor and developer, EB-5 GP, and the shareholder of Project. Responsible for development, financing, project management, and investor relations. Earns developer promote.

11.2 Corporate Structure Diagram

Corporate Structure & Flow of Funds



11.3 Fund Flow Summary

Equity Path (Foreign LP): Foreign investors subscribe to the offshore fund managed by the Foreign Fund GP (Singapore). Capital is split 30/70 between the Equity Feeder (\$3.0M equity) and Debt Feeder (\$7.0M PIE loan). Both feeders invest into the U.S. Tax Blocker (Delaware C-Corp), which invests as an LP into California Real Estate Fund, LLC (NCE). The NCE deploys this \$10.0M alongside \$17.6M EB-5 capital and \$35.9M LIHTC tax credit equity into Rosamond Home Development, LLC (JCE).

EB-5 Path: 22 EB-5 investors each contribute \$800,000 (\$17.6M total) directly into California Real Estate Fund, LLC (NCE) through a USCIS-compliant escrow. The NCE deploys this capital alongside the foreign LP equity into the JCE. EB-5 investors receive a 20% share of cash flow distributions and qualify for U.S. permanent residency.

Return Path (Foreign LP): Operating cash flows distribute through the NCE to the Tax Blocker. At the blocker level, 70% services the PIE loan to the Debt Feeder (interest exempt from U.S. withholding under the portfolio interest exemption, IRC §871(h)/881(c)). The remaining 30% flows as dividends to the Equity Feeder at the reduced 5% treaty withholding rate (Singapore-U.S. tax treaty). On exit, the blocker is liquidated via §302 stock redemption, providing capital gains treatment.

Construction Loan: The JCE is financed with \$28.0M in tax-exempt Private Activity Bonds (4.0% / 35yr) and \$25.0M in C-PACE assessment financing (6.0% / 30yr), with combined annual debt service of \$3.32M. Both instruments are non-recourse. C-PACE sits senior via property tax lien; bonds are secured by a first deed of trust. All equity from the NCE (\$63.5M) is subordinate to the debt instruments.

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